TEACHER GUIDE

AQA GCSE Business (8132)

# Cash flow

3.6 Finance
**3.6.2 Cash flow**



A revision lesson. Pupils run a car dealership in firms of four and revise cash flow on their own deals. Seat each firm together. Each firm answers the topic tasks together.

## The lesson

**45-minute setting**

| Setup | Round 1 | Round 2 | Round 3 | Final questions |
|---|---|---|---|---|

EVERY ROUND

**Firm decisions**
3 min

→

**Deals**
4½–5 min

→

**Topic tasks**
4 min

→

**B2B deal**
2½ min
from Round 2

LESSON SETTINGS

| 30 min | 45 min | 60 min | 75 min |
|---|---|---|---|

# What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



## CEO

Staff · Sabotage from Round 2



## Finance

Capital & Loans · Investments



## Sales & Marketing

Marketing



## Operations

Seasonal stock

# Topic tasks

Each firm gets its own figures. The method is the same.

## 1 Profit on this deal

Round 1

They pay you in 30 days.

**Profit on this deal?**

| | |
|---|---|
| Cars in the deal | **2 cars** |
| You buy them today, in total | **£28,000** |
| Prep and delivery, per car | **£300** |
| Customer pays in total | **£34,000** |

**ANSWER**

**£5,400**

£34,000 − £28,000 − 2 × £300 = £5,400

**Why:** £5,400 profit, but £28,600 is out of your cash for 30 days.

## 2 Improve cash flow

Round 1

Your bank balance is low. Customers take 60 days to pay you.

**Which two would improve your cash flow?**

- **A** Ask customers to pay sooner
- **B** Buy more cars now to sell later
- **C** Ask suppliers for longer to pay
- **D** Give customers 90 days to pay
- **E** Pay suppliers early for goodwill

**ANSWER**

**✓ Ask customers to pay sooner**
**✓ Ask suppliers for longer to pay**

**Why:** Cash comes in sooner or goes out later; the other three take cash out sooner.

## 3 Forecast in order

Round 2

You fill in next month's cash-flow forecast.

**In what order do you work it out?**

- **A** Add it to the opening balance
- **B** That gives the closing balance
- **C** Net cash flow: cash in minus cash out
- **D** It becomes next month's opening balance

**ANSWER**

1. **Net cash flow: cash in minus cash out**
2. **Add it to the opening balance**
3. **That gives the closing balance**
4. **It becomes next month's opening balance**

**Why:** Net cash flow first; add the opening balance; the closing balance carries over.

# Topic tasks

## 4 Month-end balance

Round 2

A two-month deal.

**Balance at the end of month 1?**

| | |
|---|---|
| Set aside for this deal | **£25,000** |
| Month 1: you buy the cars | **£49,500** |
| Month 1: customer deposit | **£11,500** |
| Month 2: rest of the price | **£45,500** |

**ANSWER**

**−£13,000**

£25,000 − £49,500 + £11,500 = −£13,000

**Why:** Month 1 is short by £13,000. Month 2 brings £45,500.

## 5 Cash now or later

Round 3

Your bank balance is low. A taxi firm pays £30,000 today; a hire firm pays £31,000 in 90 days.

**Which deal should you take, and why?**

**A** The hire firm: £31,000 in 90 days

**B** The taxi firm: £30,000 today

**ANSWER**

**✔ The taxi firm: £30,000 today**

**Why:** With cash short, money today matters more than £1,000 more in 90 days.

## 6 Month-end balance

Round 3

They pay half in month 2.

**Balance at the end of month 2? Minus allowed.**

| | |
|---|---|
| Set aside for this deal | **£15,000** |
| Month 1: you buy the cars | **£42,000** |
| Running costs, each month | **£400** |
| Customer's price | **£53,000** |

**ANSWER**

**−£1,300**

£15,000 − £42,000 − 2 × £400 + £26,500 = −£1,300

**Why:** Month 2 is still short: the other half comes in month 3.

# Final questions

Each pupil answers 6 final questions on cash flow. They come from these 12 questions.

1 A dealership starts a week with £15,000 cash. Cash inflows are £42,000 and cash outflows are £38,000. What is the closing cash balance?
✔ **£19,000**

2 A motor business forecasts cash inflows of £31,000 and cash outflows of £37,000 in April. What is net cash flow for April?
✔ **−£6,000**

3 A dealership opens April with £22,000 cash and forecasts net cash flow of −£6,000. What is its forecast closing balance?
✔ **£16,000**

4 A dealer records a sale on credit but will not receive cash for 30 days. Why can it be profitable yet short of cash?
✔ **Profit counts sales; cash depends on when money arrives**

5 A firm begins a week with £8,000 cash, receives £25,000 and pays £39,000. What is its closing cash balance?
✔ **−£6,000**

6 Customers pay 60 days after delivery, so a profitable fleet dealer is short of cash. Which change helps its cash flow most directly?
✔ **Agree shorter payment terms**

7 Why should the Finance lead update a cash-flow forecast when customer payment dates change?
✔ **Receipt timing changes when a surplus or shortage may occur**

8 Why should the Finance lead not use profit alone to decide whether a bill can be paid today?
✔ **Profit does not show when cash arrives**

9 Which sign should most concern the Finance lead about short-term solvency?
✔ **It often cannot pay bills when due**

10 Profit is sales minus costs. Cash is the money in the bank now. A profitable dealer cannot pay a bill due Friday. What helps soonest?
✔ **Chase customers who owe it money**

# Final questions

**11** Net cash flow = cash in − cash out. In: £64,000 sales, £19,000 servicing. Out: £71,000 stock, £26,000 wages. Step one: cash in = £83,000. What is net cash flow?

✔ **£14,000 negative**

**12** A dealer's yearly revenue exceeds total costs, but this month it cannot pay its parts supplier on time. Which problem is this?

✔ **A cash-flow problem: money goes out before it comes in**